



Governing through Institution Building: Institutional Theory and Recent European Experiments in Democratic Organization

Johan P. Olsen

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CHAPTER

3 3 Change and Continuity

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Johan P. Olsen

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Abstract

Chapter 3 attends to the mechanisms through which institutions arise, evolve, and decline. The main part explores institutional sources of continuity and change, institutionalization and de-institutionalization. It examines the conditions under which deliberate design and reform is likely to be a dominant process of change and the conditions under which existing institutional arrangements are likely to sustain or undermine change. Accounting for how and why institutions emerge and change, however, requires a rephrasing of the questions scholars may aspire to answer. The task of democratic government is *not* to maximize change. It is to balance order and change, and the scholarly challenge is to account for how and why institutions remain stable as well as how and why they change.

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The problem of institutional change

Whereas the democratic–instrumental vision assumes that citizens and their representatives are able to govern through deliberate institution building and polity formation, and that they therefore determine how institutionalized, integrated, and settled a polity will be, it is also commonplace to argue that political institutions are a source of inertia and resistance to change. Institutions are seen as excessively static and likely to remain on the same path unless some effort is made to divert them. It is also commonplace to claim that the ‘new institutionalism’ as an approach to political life is not useful for making sense of institutional change, planned or not. The assumed inability to explain change arises because the new institutionalism is overly structuralist and does not grant purposeful actors a proper role. The approach does not deal adequately with political agency, conflict, and power asymmetries, and can not therefore account for deliberate institutional design as a political instrument (Peters 1999a, b, Peters and Pierre 2005). Yet the label ‘new institutionalism’ is used for a variety of approaches that understand change differently and, ‘most fundamentally, there is the question of whether or not change is recognized as an ordinary part of institutional life or as the exception to a rule of stability, and perhaps even hyperstability’ (Peters 1999a: 147).

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The aim of this chapter is not to take stock of competing approaches to institutional change. It is to use one specific institutional approach, with roots in studies of formal organizations, to explore further how we may think about institutional sources of continuity and change and the mechanisms through which institutions and forms of government arise, evolve, decline, and disappear and about how new institutions replace or supplement older ones. What conditions are likely to sustain or undermine change, and what is the significance of existing institutional arrangements compared to deliberate interventions and environmental dictates? These questions are old and well known in studies of political organization and forms of government. Whereas the answers given to these questions have usually been contested, it is here assumed that democracies require both institutions that support order and stability, and institutions that support innovation and change. It is also assumed that change may involve decline and deterioration as well as improvement and progress.

The chapter calls attention to aspects usually neglected by approaches giving primacy to deliberate design or large-scale societal forces. Within the first, institutional arrangements are malleable and a matter of choice, and change is driven by actor strategies. Within the second, institutional arrangements are determined by the external environment through competitive pressure and selection stemming from advantageous traits and differential survival and growth. In contrast, an institutional approach assumes that institutions are not pawns of external forces or obedient tools in the hands of some master. They have an internal life of their own, and developments are to some degree independent of external events and decisions. Change is an ordinary part of political life. It is rule-bound and takes place through standard processes, as institutions interpret and respond to experience through learning and adaptation. Yet such processes are not guaranteed to be ‘efficient’ in reaching an enduring equilibrium, and sometimes change is discontinuous (March and Olsen 1984, 1989, 2006a, b).

In what follows I focus on the relations between institutional characteristics and change in governmental institutions in modern democracies. Accounting for how and why institutions emerge and change, however, requires a rephrasing of the questions an institutional approach should aspire to answer. The task of democratic government is not to maximize change. It is to balance order and change, and the scholarly challenge is to account for how and why institutions remain stable as well as how and why they change.

Democratic government is, furthermore, made up of organized components with shifting relations to one another, and governing is structured collective action coordinating multiple actors, organizations, and resources. Knowledge about how formal organizations operate and change, therefore, is assumed to provide insight into the dynamics of governmental institutions. Formal organizations and formally organized

institutions are conceived as collections of rules and standard operating procedures, pre-defined patterns of thought and action, including but not limited to legal rules and procedures, and resources.

First, the problem of change is reformulated and it is observed that institutions have a role in generating both order and change and in balancing the two. *Second*, the concepts of institution and institutionalization are elaborated. *Third*, institutional sources of change and continuity are explored. *Fourth*, some implications for how democratic change and order can be conceived are spelled out; and *finally*, some future challenges are suggested.

Neither Newton nor Heraclitus

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Portraying political institutions as unable or unwilling to adapt to new contingencies, tasks, and purposes has deep historical roots. A standard argument has been that political institutions lag behind economic, technological, and social change—a claim that has been frequently repeated as a premise for reforms in the public sector during the last three decades. Contemporary societies emphasize the need for innovation and change, yet the main assumption, inspired by neoclassical economics, is that market competition is, and should be, the dominant mechanism of innovation (Fagerberg, Mowery, and Nelson 2005).

The argumentation seems inspired by Newton's first law: the law of inertia. Political institutions, like any material body that is at rest or is moving at a constant speed, will remain at rest or keep moving at a constant speed unless acted upon by an external force. External forces decide the direction and magnitude of change, and in the absence of external forces political institutions will cling to the status quo; or those institutions are subject to continuing and inevitable developments towards modernization, rationalization, democratization, bureaucratization, and so on.

Historically, however, political thinking has been as much concerned with the conditions for legitimate order, authority, and rule, as with change (Immergut 2006). Stability and ordered relationships have been viewed as a precarious achievement, always threatened by disorganization, entropy, and chaos that endanger life and property. The point of departure for this strand of analysis is closer to Heraclitus (540–480 BC) than to Newton. The indeterminacy of political life is emphasized. Everything is in flux under the pressure of shifting situations. Organizational arrangements are infinitely changeable and always in transition, and it is a Sisyphean job to create and maintain political order. Because it is as difficult to keep institutions constant as it is to change them, there is a need to explain continuity and smooth developments as well as radical transformations and abrupt breakdowns. Understanding order and change are two sides of the same coin, and there is a need to know what processes and conditions may maintain or challenge the status quo.

Elements of order

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An institutional approach assumes that political life is neither deterministic (caused by external forces and laws) nor random (governed by the laws of chance), and that political institutions are neither completely static nor in ↪ constant flux. In contrast with the assumptions of the heirs of Heraclitus, institutions are assumed to create elements of order and predictability in political life. Institutions organize actors, issues, and resources in or out of politics and they structure patterns of political struggle (Schattschneider 1960, Steinmo, Thelen and Longstreeth 1992, Egeberg 2003, 2006a). They make less likely pure temporal sorting where decision opportunities, actors, problems, and solutions flow together solely as a function of time (Cohen, March, and Olsen 1972, 2007). In contrast with the assumptions of the heirs of Newton, political institutions are assumed to have a dynamics of their own. The assumption that institutional arrangements persist unless external forces act on them underestimates both intra- and inter-institutional sources of change. In brief, there are orders, but they are temporary.

Imperfect processes

Through what processes, then, do institutions emerge and change? To what extent are forms of government a matter of choice (Mill 1962: 1)? Are societies capable of establishing good government from reflection and choice, or are they forever destined to depend on accident and force (Hamilton, Jay, and Madison 1964: 1)? To answer these questions, students of political institutions have borrowed metaphors from both engineering and biology.

Political engineering and rational design assume that institutions are deliberately created and reformed in order to achieve substantive purposes and ends. Some actors have a vision of a better society. They have a diagnosis of what is wrong and see institutions as partly causing the problems. They prescribe better ways of doing things and know how institutions should be changed in order to achieve better results. They also control the resources required to implement the prescription.

An alternative to rationalism—‘the most remarkable intellectual fashion of post-Renaissance Europe’ (Oakeshott 1991: 5)—is to see ‘living institutions’ as social organisms that evolve over time as an unplanned result of historical processes. Institutions grow as an artefact of interaction, cooperation, and competition, and embody the experience and normative and causal beliefs of a population. In this perspective the parliament, for example, has been seen as ‘a product less of intention and design than of blind evolution’ (Dahl 1998: 21). Actions may come before ideas and purposes. Ends and means may develop simultaneously, and evolving behavioural patterns may be described, explained, and justified post hoc, ‘frozen’ into habits and traditions, and formally codified. Surviving institutions are those that have proved their worth through the test of time.

p. 123 Inspired by Mill’s sarcastic comment, ‘it is difficult to decide which of these doctrines would be the most absurd, if we could suppose either of them held as an exclusive theory’ (Mill 1962: 3), an institutional perspective conceives of political actors neither as engineers with full control nor fatalists with no range of choice. Institutional developments are neither a direct product of will, planning, and design, nor a mere haphazard by-product of chance events and an ecology of uncoordinated actions. Institutionalism emphasizes the endogenous nature and explanatory power of political institutions. It is assumed that the organization of political life makes a difference and that institutions have dynamics of their own. The theoretical challenge is to understand the shifting mix of deliberate design and adaptive behaviour (March 1981, March and Olsen 1989, 2006b, Brunsson and Olsen 1998).

In the literature it is often assumed that institutions survive and flourish because they are well adapted to their functional (Goodin 1996b, Stinchcombe 2001) or normative environments (Meyer and Rowan 1977, Scott, Meyer, and associates 1994). There is, however, no reason to believe that processes of adaptation are always perfect in a context of large-scale governmental organizations. Political institutions have historically shown robustness when facing comprehensive societal change; institutional stability is possible in situations with high external pressure (Héritier 2007: 242), and it has even been asked whether government organizations are immortal (Kaufman 1976)—suggesting that the external environment has a limited and varying ability to select and eliminate political institutions. Likewise, in spite of accounts of the role of heroic founders and constitutional moments, democracies have a limited capacity for institutional design and for achieving the intended effects of reorganizations (March and Olsen 1983, 1989, Olsen and Peters 1996, Offe 2001).

p. 124 In contrast with standard equilibrium models, institutionalism holds that history is ‘inefficient’.¹ ‘Historical inefficiency’ implies that institutions rarely are perfectly adapted to their environments and that the matching of institutions, behaviours, and contexts takes time and has multiple, path-dependent equilibria. The receptivity towards external pressure varies and adaptation is less automatic, continuous, and precise than assumed by equilibrium models (March and Olsen 1989).² Institutions affect the rate of change by the ways in which they adapt their internal structures and processes, by creating actors and providing them with premises of action, and by ignoring or modifying external pressures and influencing environments and thereby future

environmental inputs. There is, for example, no guarantee that surviving institutions represent an efficient response to external environments because the rate of external change may outpace the rate of institutional adaptation and because institutions sometimes speed up and sometimes delay or impair external impulses and decisions.

Whereas institutionalism assumes that change and order are generated by comprehensible processes producing recurring modes of action and patterns of change (March 1981), the possibility of inefficiency in standard processes requires detailed knowledge about how historical experience is incorporated into institutional structures and processes (DiMaggio and Powell 1991: 33). The key behavioural mechanisms encoding experience into rules and routines are history-dependent, and in a world of partly autonomous institutions we need to move our focus from a single dominant, coherent, and efficient process to observations of how institutional attributes mediate between ↴ inputs and outcomes by influencing several imperfect and possibly disjointed processes of change. Observation and interpretation of experience, targets and aspiration levels, memories, retrieval of information, capabilities, and responses are all affected by the organization and legacy of institutions (March and Olsen 1989, 1995).

Institutionalists therefore need to identify processes and determinants that increase or hamper the ordering effect of political institutions and make history more or less inefficient, and they need to attend to how such processes themselves are stabilized or destabilized (Olsen 2008a). Because a well-designed institution 'is not a stable solution to achieve, but a developmental process to keep active' (Nystrom and Starbuck 1981: xx), democracies face a grand balancing act between exploitation and exploration. Exploitation involves using rules, routines, and knowledge that are known to work. Exploration involves willingness and ability to experiment with rules, routines, and knowledge that might, but often do not, provide improvements. Elimination of exploration will make an organization obsolete in a dynamic world. Continuous experimentation will prevent the organization from realizing the potential gains of new discoveries. What is less obvious is the optimal balance between the two (March 1991, 2010).

For an elaboration of this approach, there is a need to specify in more detail what is meant by 'institution' and 'institutionalization'.

Institutionalization, de-institutionalization, and re-institutionalization

Formally organized political institutions, such as the legislature, the executive, public administration, and the judiciary, have for a long time been important research sites for students of politics. Institutionalism, however, is a specific approach that aspires to make sense of how such institutions emerge, function, and change. What makes an approach to government and politics 'institutional' (Peters 1999a: 18)? As already argued, the simple answer is that an institutional approach assigns more explanatory power to the organization and legacies of institutions than to attributes of individual actors and the broader societal contexts.

A parliament, a ministry, or a court of law, like any formal organization, can be conceived as a rational instrument for a dominant centre or entrepreneur that creates, reforms, and eliminates institutions; as an arena for struggle and bargaining among contending groups; as an artefact of environmental ↴ forces, or as a transformative institution.³ Each conception demands different kinds of knowledge. An instrumental perspective and an arena perspective require knowledge about the preferences, beliefs, resources, and strategies of (respectively) the dominant decision maker(s) and the participants negotiating and re-negotiating the terms of order. An environmental perspective demands knowledge about broad economic, technological, and social forces and movements. An institutional perspective requires knowledge about the internal success criteria, structures, procedures, rules, practices, career structures, socialization patterns, styles of thought and

interpretative traditions, and resources of the entity to be in focus. An institutional perspective also requires concepts of 'institution' and 'institutionalization' beyond everyday language.

Rules, reasons, and resources

Institutionalism conceives of an institution as a relatively enduring collection of rules and organized practices, embedded in structures of meaning and resources that are relatively invariant in the face of turnover of individuals and changing external circumstances (March and Olsen 2006b, Olsen 2008a). Constitutive rules and repertoires of standard operating procedures structure institutional behaviour and developments by prescribing appropriate behaviour for specific actors in specific situations. Structures of meaning, involving standardization, homogenization, and authorization of common purposes, reasons, vocabularies, and accounts, give direction to, describe, explain, justify, and legitimate behavioural rules. Structures of resources create capabilities for acting. Resources are routinely tied to rules and world-views, empowering and constraining actors differently and making them more or less capable of acting according to behavioural codes.

p. 127 Institutionalism involves purposeful human agency, reflection, and reason-giving as well as rules. Yet, in contrast with models assuming a logic of consequentiality and strategic action where actors maximize their (self-)interest, institutionalism assumes that the basic logic of action is rule-following. Behaviour is governed by standardized and accepted codes of behaviour, prescriptions based on a logic of appropriateness and a sense of obligations and rights derived from an identity, role, or membership in a political community and the ethos and practices of its institutions. Actors do not simply please others by acting in accordance with their expectations. Rather, rules are to some extent self-enforcing because actors have internalized the belief that some actions are appropriate, natural, and legitimate (March and Olsen 1989, 2006a, b). Members of an institution observe and are the guardians of its constitutive principles and standards. Nevertheless, they have the ability to take purposeful action based on rule interpretation, including the ability to develop and modify normative criteria and identities through collective processes.

The scopes and modes of institutionalized activity vary across political systems, policy areas, and historic time (Eisenstadt 1965, Berger and Luckmann 1967). Over time, political life achieves or loses structure, and the nature of order changes. At some periods in some polities and policy areas politics is organized around well-defined boundaries, common rules and practices, shared causal and normative understandings, and resources adequate for collective action. At other times and places politics is relatively anarchic. Boundaries are less well defined. Relations are less orderly, and institutions are less common, less adequately supported, and less involved (March and Olsen 1998: 943–4).

Institutionalization

Institutionalization is both a process and a property of organizational arrangements. Institutionalization as a process implies that an organizational identity is established and that acceptance and legitimacy in a culture (or sub-culture) are developed. It involves:

- (a) Increasing clarity and agreement about behavioural rules, including the allocation of formal authority. The standardization and formalization of practice reduce uncertainty and conflict concerning who does what, when, and how. As some ways of acting are perceived as natural and legitimate, there is less need for using incentives or coercion in order to make people follow prescribed rules.
- (b) Increasing consensus concerning how behavioural rules are to be described, explained, and justified, with a common vocabulary, expectations, and success criteria. There is also a decreasing need to explain and justify why modes of action are appropriate in terms of problem solving and normative validity.
- (c) Increasing shared conceptions of what are legitimate resources in different settings and who should

have access to, or control, common resources. The supply of resources required to act in accordance with behavioural prescriptions becomes routinized and taken for granted. It takes less effort to get the resources required for acting in accordance with prescribed rules of appropriate behaviour.

p. 128 By corollary, *de-institutionalization* implies that existing institutional borders, identities, rules, and practices, descriptions, explanations, and justifications, and resources and powers are becoming more contested and possibly even discontinued. There is increasing uncertainty, disorientation, and conflict. New actors are mobilized. Outcomes are more uncertain, and it is necessary to use more incentives or coercion to make people follow prescribed rules and to sanction deviance. *Re-institutionalization* implies either retrogression or a transformation from one order into another, constituted on different normative and organizational principles.

Since institutions are human products, they exist only because a sufficiently high number of citizens believe that they exist (Searle 1995). Institutions require continuously renewed collective confirmation and validation of their constitutive rules, meanings, and resources. Yet all institutions experience challenges, and some turn out to be fragile and unable to reproduce themselves. The basic assumptions on which an institution is constituted and its prescribed behavioural rules are never fully accepted by the entire society (Eisenstadt 1965: 41, Goodin 1996: 39). Institutions may recede into oblivion because trust is eroded and rules are not obeyed. Institutions may also be resisted and overthrown because they are discredited as being illegitimate, inefficient, immoral, or exploitative. There may be rationally motivated dissent and change (Habermas 1996: 36), and 'revolutionary violence may contribute as much as peaceful reform to the establishment of a free society' (Moore 1966: 20).

Institutionalization, therefore, is not an inevitable, irreversible, unidirectional or monotonic process, and institutionalization, de-institutionalization, and re-institutionalization can follow a variety of patterns (Weaver and Rockman 1993, Rokkan 1999, Bartolini 2005). Can, then, knowledge about intra- and inter-institutional attributes contribute to an improved understanding of how formally organized governmental institutions mirror and maintain a certain kind of order but nonetheless change?

Institutional sources of continuity and change

Organized democracy

Theories of political development have to take into account that modern democracies are 'organized democracies' (Olsen 1983) and that institutions are markers of a polity's character, history, visions, and identity.

p. 129 Institutions ↪ give order to social relations, reduce flexibility and variability in behaviour, and restrict the possibilities of a one-sided pursuit of self-interest or drives (Weber 1978: 40–3). Democratic government, however, consists of a conglomerate of partly autonomous and powerful large-scale formal organizations that operate according to different repertoires of relatively stable rules and standard operating procedures (Selznick 1957: 1, Allison 1971: 67).

Governmental organizations do, often on their own initiative, what they are trained to do and know how to do, and government can, at least in the short run, deliver only what large-scale organizations (military, police, administrative, health and educational systems, etc.) are capable of and motivated to do. Understanding what feasible alternatives organizational routines and repertoires provide is particularly important in complex situations that require coordinated action by a large number of individuals, organizations, technologies, and resources. Government actions and institutional developments can then be understood by uncovering how organizations enact standard operating procedures. It is necessary to know which organizations government consists of and the organizations they work through, how tasks and responsibilities are allocated among them,

and what standard operating programmes and repertoires different organizations have (Cyert and March 1963, Allison 1971, March and Olsen 1995).

Rules and standard operating procedures define satisfactory performance (targets, aspiration levels) and organize attention, interpretation, recruitment, education, and socialization of personnel, resource allocation, action capabilities, and conflict resolution. Governmental organizations also avoid uncertainty by stabilizing relations to other significant actors, for example through developing shared understandings about turfs, jurisdictions, and budgets. There is normally limited flexibility in organizational targets and aspiration levels, frames and traditions of interpretation, total budgets and internal allocations, and in external relationships. Resistance to change increases the more organizations are institutionalized, so that structures and processes have value and symbolic meaning beyond their contributions to solving the task at hand, and change is seen as threatening institutional identities, the sense of mission, and emotional attachments (Selznick 1957: 17, March and Olsen 1983, 1989).

p. 130 Institutions are, nevertheless, not static. Rules and practices are modified as a result of positive and negative experience, organizational learning and adaptation (March, Schultz, and Zhou 2000, March 2010). Routines, identities, beliefs, and resources can be both instruments of stability and vehicles of change; institutions of government do not always favour continuity over change. In democracies change is usually incremental, but it can also be path-breaking, with a sharp departure from existing practice. The question is ↪ when, how, and why routines are challenged and how institutional characteristics affect institutional developments and the likelihood of comprehensive change.

Rules

In institutionalized contexts foundational rules affect the mix of continuity and change. Constitutions, treaties, laws, and institution- and profession-specific rules are carriers of accumulated knowledge. They define fairly stable rights and duties, regulate how advantages and burdens are allocated, and prescribe procedures for conflict resolution. Institutions may, however, carry the seeds of their own reform. There are rules of constitutional amendment and for who is responsible for initiating and implementing reforms, for example specific departments for planning and organizational development. Change can also be driven by explicit rules institutionalized in specific units or sub-units, prescribing routine shifts within an existing repertoire of rules (March and Simon 1958).

For example, constitutional rules protect *Rechtsstaat* values and limit the legitimacy of sudden, radical change. However, constitutional rules and routines also facilitate and legitimate change such as the transfer of power from one government to another, and the instrumental strand of democratic theory holds that citizens and their representatives should be able to fashion and refashion political institutions at will. Founding assemblies, lawmakers, and governments are assumed to provide a dynamic element, making statecraft through institutional design and reform an important aspect of political agency and an assertion of human will, understanding, and power to shape the world (March and Olsen 1995, Heper, Kazancigil, and Rockman 1997, Goodin, Rein, and Moran 2006: 3). Change is furthermore supported by the institutionalization of critical reflection and debate, legitimate opposition, and the rights of citizens to speak, publish, and organize, including through civil disobedience, against the incumbent government. The mix of rules constraining and facilitating change varies across political systems, and the more heterogeneous a polity the more likely it is that priority is given to rules protecting individuals and minorities (Weaver and Rockman 1993).

Identification

p. 131 Institutionalists see identification and the internalization of appropriate or accepted ways of doing things as a key process for understanding rule-following. Institutions affect individuals, their normative and causal beliefs, and not only their environments. Rules are followed because they are seen as legitimate and not solely because of external incentives, and belief in a democratic order and commitment to democracy's institutions may be generated through socialization, education, and participation. Humans are born into a world of institutions where normative and causal beliefs are handed down from generation to generation, and the main institutions of the culture are (at least for a time) taken for granted. Humans are prepared, and prepare themselves, for different offices and roles. They may be recruited to specific positions on the basis of their normative and causal beliefs, and they are also fashioned through on-the-job training and selective exposure to information (Simon 1957, March and Simon 1958, March and Olsen 2006a).

People's habits of mind, including their beliefs in legitimate political organization and rule, are usually more difficult to change than formal rules and incentives. However, cultures and subcultures may inculcate respect for traditions or emphasize innovation and change, and some institutions, for example the university, are organized around scepticism towards existing knowledge, beliefs, and practices. Even a Weberian bureaucracy, designed to be effective, independent of environmental variation and change, and usually seen as rule-bound and inflexible, is founded on beliefs in legitimate change as new knowledge and insights become available, governments shift, and courts of law (re)interpret existing rules.

How individuals are differently selected and fostered can also be a source of change as well as continuity. Like all organizational processes, recruitment, socialization, education, participation, and identification are more or less 'perfect' in the sense that they, to different degrees, successfully select and mould people's mindsets. There is great variation across institutional settings and over time when it comes to what and who control such processes. Socialization agencies are weak or strong, and institutional cultures are more or less integrated. Participants are 'social but not entirely socialized' (Wrong 1961: 191), and nonconformity is always possible. People also often have more than one identity, and change depends on which identity and rules of appropriateness are evoked in different contexts.

Socialization is, for example, affected by organizational growth rates, internal careers and the length of apprenticeship for top positions, the frequency of promotions and rewards, the turnover of personnel, and the ratio of veterans and newcomers (Lægreid and Olsen 1978). Institutional identities and memories are enhanced by a permanent civil service, compared to a spoil system such as the US public administration where identities are weakened, memory is removed, and the ability to learn from experience is reduced because many key actors leave with changes in government (Peters 1996).

p. 132 Interpretations and search

The impact of rules and identities depends on how they are interpreted. The core assumptions within the tradition of bounded rationality in organizational studies are that all humans act on the basis of a simple model of the world and that the office one holds, and the organizational setting in which one acts, to a large extent provide the premises for action (Simon 1957, March and Simon 1958). Existing meaning systems, frames, and traditions of interpretation can be a source of inertia. However, thoughtful and imaginative reasoning about current and historical experience and the meaning of behavioural codes, causal and normative beliefs, and situations can also generate change—even a reinterpretation of an institution's mission and role in society (March and Olsen 1995). External impulses may also be interpreted in ways that increase or constrain their impacts. For example, global prescriptions of administrative reform have consistently been interpreted and responded to differently, depending on national institutional arrangements and historical traditions (Christensen and Lægreid 2007a).

Change can follow from shifting institutional attention. An organization will usually enact the programme believed to be most appropriate for the case at hand among the repertoires of options available. Most of the time actors attend to the tasks, targets, and task environments they are responsible for. Boundedly rational actors do not constantly attend to institutional issues if that is not their specific responsibility. Because time, energy, and attention are limited, some challenges are not faced, some opportunities are not realized, and competency traps reduce experimentation and produce 'lock-ins' (Arthur 1989). The organization of attention then affects whether pressure for change accumulates, so that sudden change may follow from an internal re-focusing of attention. The better democratic politics and organizational routines work as feedback mechanisms, ensuring collective learning and continuous adaptation to feedback, the less need there is for comprehensive reform and the less likelihood of sudden breakdowns (Olsen 1997).

p. 133 Institutional routines are developed for fairly well-structured and recurring problems and situations, and may look inappropriate when applied to ill-structured and non-recurring problems and situations. Searches for alternatives, innovations, and change are initiated when available standard operating procedures are perceived to be unsatisfactory for solving problems, resulting in search in the neighbourhood of problems or current alternatives (Cyert and March 1963). Search and innovation can be driven by an internal aspiration-level pressure caused by enduring gaps between high institutional ideals and self-decided targets and actual practices (Broderick 1970). An example is provided by unattainable democratic ideals that are never completely fulfilled in any society (Dahl 1998: 31). Institutional ideals can also be deliberately mobilized for change, as illustrated by the development of the European Parliament. Whereas the EP started out with few of the functions and competencies usually found in national parliaments, the vision of 'Parliament' has been used, in particular in crisis situations, to enhance the status and power of the EP (Héritier 2007).

Search and innovations can, furthermore, follow because people gradually lose faith in institutional arrangements or as a result of sudden performance failure. There can be not only external but also internal disenchantment, discontent, and a loss of faith in the institution and the authoritative interpreters of its mission, history, and future. Typically, taken-for-granted beliefs and arrangements are challenged by new or increased contact between previously separated entities based on different normative and organizational principles. Institutionalized beliefs can then be threatened by realities that are meaningless in terms of the beliefs on which an institution is founded. Unexplainable inconsistencies and incoherence cannot be dealt with by standard operating procedures, and change follows from efforts to reduce inconsistency and generate a more coherent interpretation of existing difficulties (Berger and Luckmann 1967: 103, 107–8). An important aspect of such processes is change in beliefs about what is inevitable and what it is possible to do. For example, for citizens and political leaders to imagine that they could apply reason and will to remake institutions, they had to begin to believe that institutions expressed the will and interests of humans, and discard the medieval belief that institutions reflected the creation and will of God, that institutions had existed since time immemorial, and that they would persist into perpetuity (Lathrop Gilb 1981: 467).

Resources

Under ideal democratic conditions all citizens have equal influence. In practice, the ability to comprehend, implement, and enforce rules, identities, and beliefs and to punish deviance depends on available resources for action. Institutions are defended by insiders and validated by outsiders, and cannot be changed arbitrarily. Institutional resources can be mobilized to inhibit externally induced efforts to change as well as to amplify such impulses or initiate change (March and Olsen 1989, 1995, Offe 2001).

p. 134 Institutionalists, therefore, have to attend to the standard procedures through which institutions allocate and reallocate resources and to how internal redistribution of resources, authority, and power may affect change. How much authority and power are the result of winning a majority in popular elections (Rokkan 1966)? How much influence is located in specific positions and roles and, in particular, what are the resources available for

those who occupy institutional command posts (Mills 1956)? Resourceful, organized groups in society may initiate change and overwhelm and capture political institutions. Foreign influence, for example externally induced or assisted institutional change, is also well known from colonialism to today's reform programmes of the World Bank and the International Monetary Fund (Nef 2003: 529). Institutions, however, are to varying degrees vulnerable to external changes in available resources, generating budgetary bonanzas or enduring austerity where expectations and demands are excessive compared to available resources.

Slack institutional resources may work as shock-absorbers against environmental change and contribute to continuity. However, slack resources may also create surpluses that generate search, innovation, and change (Cyert and March 1963). Slack resources may, furthermore, support institutional autonomy so that inconsistencies and tensions of everyday life are buffered by specialization, separation, sequential attention, and local rationality. Budgetary starvation or reduced slack is likely to generate demands for joint decisions and coordination, and such demands tend to make conflict and change more likely (Cyert and March 1963).

Arguably, institutional specialization, separation, and autonomy are mechanisms that help democracies cope with tensions that create conflicts and stalemates at constitutional moments. Constitutional decisions often generate struggles over the identity of the polity or a specific institution. Due to their catch-all character, constitutional decisions easily become 'garbage cans' for a variety of ill-structured issues, characterized by competing or ambiguous goals, weak means–end understanding, and fluid participation (Cohen, March, and Olsen 1972, Olsen 2003c). Simultaneously, the demands for consistency and coherence become stronger. Institutional routines are challenged and it is more difficult to make joint decisions. Therefore one hypothesis is that democratic systems work comparatively well *because* their political orders are not well integrated. Rather than subordinating all other institutions to the logic of one dominant centre, democracies reconcile institutional autonomy and interdependence. Problem solving and conflict resolution are disaggregated to different levels of government and institutional spheres, making it easier for democracies to live with unresolved conflict (Olsen 2003c, 2004a, 2007a: ch. 9).

p. 135 **Unresolved conflict**

Institutions are not merely structures of voluntary cooperation and collective problem solving that produce desirable outcomes, and institutional change is not necessarily an apolitical, harmonious process. It cannot be assumed that conflict is solved through social integration and shared values, political consensus, or some prior agreement and 'governing text' (constitution, treaty, coalition agreement, or employment contract). Except at the level of non-operational goals, most organizations most of the time exist and thrive with considerable latent conflict (Cyert and March 1963: 28, 117). Change processes assuming a single, unitary designer with well-specified objectives therefore have to be supplemented with processes involving conflict and unequal power (Knight 1992). Tension and change may follow because those deciding, implementing, and being affected by rules are not identical (Farrell and Héritier 2007, Héritier 2007), or because the dynamics of rules, beliefs, and resources are not synchronized.

Conflicts over the form of government and how society is to be constituted politically can be destructive as well as a source of innovation and improvement. Key questions are under what conditions democracies are successful in channelling discontent and protest into institutionalized conflict resolution, and how different institutions influence how disputes are coped with. For example, political processes produce more or less clear winners and losers, and losers are often supposed to mobilize politically and demand change (Clemens and Cook 1999). 'Winner-take-all' systems are then more likely to generate institutional oscillation with shifting political majorities while incremental change is more likely in political systems that routinely aim at sharing benefits and costs, including compensation for the losers.

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Whereas much of the literature attends to how conflicts between political parties and societal groups are dealt with and how mass mobilization through social movements produces change, institutionalists also have to study how intra- and inter-institutional conflicts within government may drive change. De-institutionalization is seen as creating 'institutional chaos' and an 'institutional vacuum' (Ágh 2003: 541). Destroying the *ancien régime* is perceived as a precondition for clearing the way for a new set of institutions (Moore 1966: 16), and in market economies 'creative destruction', generated by entrepreneurs and competition, is seen to guarantee continuous change, as new ways of doing things eliminate outmoded ↵ and less efficient and profitable organizational forms and technologies (Schumpeter 1994).⁴

This view, however, has to be supplemented with the possibility that destruction is less complete and that democracies live with tensions between old and new forms and practices. Democratic polities are generally uneasy about excessive change and the uneven distribution of gains and losses following from 'creative destruction'; they usually try to reach compromises that modify the pace of change, compensate losers, and maintain social peace. European processes of transformation also suggest that there may be an asymmetry between institutionalization and de-institutionalization. New institutionalization has taken place at the European level without the predicted de-institutionalization (non-viability, withering, and demise) of the nation state. Rather than 'creative destruction', the main pattern has been that new institutions have supplemented rather than replaced national institutional arrangements. The European state has been under strain, but it has endured as a key political institution and contributed to its own transformation (Hurrelmann *et al.* 2007). Loosely coupled polities with partly autonomous institutions may in particular generate new institutions and keep old ones. Rather than a general 'creative destruction', there may be processes of sedimentation, making new and old institutions coexist even when they are constituted on partly inconsistent normative and organizational principles (Sait 1938, Christensen and Lægreid 2007a, Olsen 2007a).

Tensions within and among institutions, nevertheless, provide a potential challenge to coherence and stability, as institutions organized upon competing principles and rules create problems for each other. Whereas 'political order' suggests an integrated and coherent institutional configuration, polities are, as already argued, never perfectly integrated and monolithic. No democracy subscribes to a single set of doctrines and structures, and no grand architect has the power to implement a coherent institutional blueprint. Institutional arrangements are usually a product of situation-specific compromises. They fit more or less into a coherent order and they function through a mix of coexisting organizational and normative principles, behavioural logics, and legitimate resources.

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Even a Weberian bureaucracy, the prototype of hierarchical organization, harbours competing claims to authority and logics of appropriate behaviour. Bureaucrats are supposed to follow commands rooted in a formal position and public mandates generated through competitive elections. ↵ They are expected to be governed by rules, laws, and *Rechtsstaat* principles, and they are assumed to be dictated by professional knowledge, truth claims, and the democratic doctrine of enlightened government. The three competing claims are also embedded in different institutional contexts, that is, elected government, courts of law, and institutions of higher education and professions (Olsen 2008b; Ch. 5 below). Likewise, diplomats face competing claims because diplomacy as an institution involves a tension between being the carrier of the interests of a specific state and being the carrier of transnational principles, norms, and rules maintained and enacted by representatives of the states in mutual interaction (Bátora 2005).

Polities, then, routinely face institutional imbalances and collisions, and some of the fiercest societal conflicts have historically been between carriers of competing institutional principles. Transformative periods have been characterized by major institutional confrontations and resource mobilization (Weber 1978). The *raison d'être* of an institution may be questioned, and radical intrusions and attempts to achieve external control over the institution may arise. Stern institutional defences against invasions of alien norms may also occur, combined with a re-examination of the institution's ethos, codes of behaviour, primary allegiances, and pacts

with society (Merton 1942, Maassen and Olsen 2007). Sometimes such collisions generate radical change in internal as well as external relationships.

However, whereas disagreement over inter-institutional organization may be a source of change, change is unlikely to take the form of an instant shift from a particular coherent equilibrium to a new one (Olsen 2004b, 2007a, Orren and Skowronek 2004, Hurrelmann *et al.* 2007). For example, strong relationships with other institutions make it difficult to redesign institutions (Peters 1999b), and in tightly coupled systems change is likely to involve several institutional spheres and levels of government. The more loosely coupled a political order, the more likely are institution-specific processes of change. In fragmented systems innovation may take place in partly autonomous communities where deviant ideas can be insulated long enough to mature before they are confronted with dominant ideas (March 2004). Institutions may then be transformed as participants learn from local experience and adjust local linkages rather than being transformed as a result of global rationality achieved through some singular grand process, such as deliberate choice, experiential learning, or competitive selection. Adaptation may be myopic, meandering, and inefficient (March 1999) and 'designs' may be local (Goodin 1996b: 28–9).

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The long list of relevant mechanisms and factors suggests why it has been difficult to build simple models that explain institutional change and continuity. The difficulties are general—institutionalism does not relate solely to institutions of democratic government. It may, nevertheless, be of value to explore in more detail possible implications for how democratic development is conceived, in particular in a period when students of formal organizations primarily address business enterprises and economic organization, and the innovation literature largely ignores democratic debate, competition, and institutions as a source of innovation and change (Fagerberg, Mowery, and Nelson 2005).

Democracy as a complex adaptive system

An institutional approach calls attention to one of democracy's great mysteries: how is it possible that a huge number of potentially chaotic decisions by 'sovereign' individuals generate a fairly stable order and a political community capable of making and implementing binding collective decisions? The discussion above suggests that to answer the question it may be useful to see democracies as examples of complex adaptive systems, that is, self-renewing institutional arrangements that learn from experience. In relatively simple terms, self-organizing local relationships modify existing forms, generate new ones, and create order with properties that each component part does not have. Adaptation based upon a small set of standard rules and procedures generates systems of surprising complexity, so that the system persists while individual components change, and the interaction between the components is responsible for the persistence of the system (Holland 1995, 1998, Axelrod and Cohen 1999).

Unfinished democracy

When 'democracy' is used as a fixed category—to describe a specific form of government classified according to stable properties in the taxonomic tradition of Aristotle and Linnaeus—making sense of change implies understanding how non-democratic systems become democratic and vice versa. In a dynamic perspective, however, democracies are being made and remade continuously through processes of institutionalization, de-institutionalization, and re-institutionalization, as well as of integration, disintegration, and reintegration. The nature of democracy is to be unfinished and in the process of becoming rather than static.

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Historically, democratic institutions have waxed and waned as citizens and their leaders have developed and redefined (often unattainable) normative doctrines and organizational principles of good government towards which rulers and ruled are supposed to orient their behaviour. The idea of democracy has been

redefined as it has been linked to the city state, the nation state, emerging regional polities such as the European Union, and cosmopolitan democracy. There has been a succession of democratic forms and an open-ended series of institutional origins, transitions, and breakdowns. In many parts of the world there is a gap between citizens and their institutions, and electoral volatility, a reduced number of party members, new political parties, and new alliances indicate weaker institutions and also less predictability in developed democracies (Mair 2007).

A customary starting point for making sense of democratic development is to see democracy as government by and for the governed. The people are ‘the only legitimate fountain of power’ (Hamilton, Jay, and Madison 1964: 11), and political institutions shall reflect the will of the people, understood as equal citizens. Governing, nevertheless, includes responding to citizens’ demands and societal change as well as initiating and driving change through forecasting and planning. What kinds of institutions, then, does democracy require (Dahl 1998)? Historically, different conceptions of ‘democracy’ have been reflected in competing institutional prescriptions. Today there is no stable consensus concerning ideas about appropriate ways of organizing government, and there is huge variation among what are in everyday language called ‘democracies’ with regard to how the will of the people is established and implemented in practice.

Until the middle of the nineteenth century ‘democracy’ was regarded as an unstable and dangerous form of politics that was incompatible with personal security and the right of property.⁵ Since then democracy has come to be considered as more legitimate. However, its meaning has been lost in ‘the cacophony of competing interpretations’, and contemporary democracies lack meaningful concepts for describing, criticizing, and defending political institutions and practices (Hanson 1987), including the relationship between democratic norms and other legitimate normative standards. Normative political theory and practice provide incomplete answers—a loose framework rather than clear guidance—and there is an ongoing ‘belief battle’ over democratic ideas (Sartori 1969: 87) and the desirability of particular political institutions. The democratic belief that political institutions should and can be designed and implemented to achieve preconceived goals also lives side by side with the observation that it is difficult to establish a firm theoretical basis for institutional design (Olsen 1983: 9).

Do democracies, then, have a unique ability to learn from experience and to adapt to shifting circumstances? If so, through what institutional mechanisms are learning and adaptation taking place? How do democracies adapt to and also adapt environmental circumstances? How do they fit themselves to changing environments and also fit external environments to themselves? Arguably, understanding democracy as a complex adaptive system can supplement accounts that give primacy to learning through a centralized authority and organizer, as well as individual learning through decentralized, voluntary exchange and competition.

Between centralization and decentralization

Democracies are usually seen as organized around making collectively binding rules, executing and applying those rules, sanctioning deviance, and adjudicating rule disputes (Rothstein 1996). Democratic organizational thinking, however, has a bias. Primacy is given to formation of opinion and will in civil society and legislative supremacy. ‘[T]he authorization of rule is derived from elections’ (Przeworski 2006: 312), and the contestation of will and power and the selecting and legitimating of government take place in the electoral channel through the competition for people’s votes. That is, the demos exercises power through public debates, electoral systems, competition among political parties, votes, and legislatures. Within this frame one centre (usually the legislature) acts authoritatively on behalf of society and fashions institutions such as bureaucratic organizations and competitive markets through legal acts (Habermas 1996: 75, 171).⁶ It is the task of elected leaders to make ‘the state apparatus’ an efficient and smooth-running machine, to exercise control over agencies and agents, and to counteract usurpation and arbitrary use of public power.

In contrast, Lindblom, relying on economic theories of competitive markets, argues that political science has an 'overriding disposition' towards centrality. The 'intelligence of democracy'—rationality, coordination, and efficiency—is, however, achieved through dispersion and fragmentation of power and mutual adjustment. Actors 'have an eye on each other' and there is coordination without a central organizer, common purpose or identity, or detailed rules (Lindblom 1965: 3, 305). New forms evolve and disappear without a deliberate act of design. The resulting system is an artefact, evolving through competition and struggle for advantages and existence among self-interested individuals. When the incentives are right, human actors will follow their selfish interest and at the same time further the common good. Within such decentralized, market-inspired approaches the primary function of democracy is to aggregate predetermined preferences and resources. Democracies are held together by individual calculation of utility and expediency.

An institutional perspective does not deny that the electoral channel is important and that a central authority sometimes has considerable organizing power, or that individual autonomous adjustment is a significant process in contemporary democracies. Nevertheless, in contrast with decentralized approaches, institutionalism assumes that institutions can be integrative (March and Olsen 1986). A core task for democratic institutions is to translate a heterogeneous and pluralistic society into a viable political community and to provide long-term systematic arrangements, agreed-upon principles and procedures that have normative value in themselves. Institutions provide a framework for policy making that affects but does not determine outcomes, and non-deterministic institutions may even be a precondition for legitimacy and compliance (Pitkin 1972, Di Palma 1990).

To be a member of a political community, a *citoyen* rather than a *bourgeois*, implies that collective life is to some degree governed by socially validated and individually internalized rules, norms, and understandings. Democratic politics is a fundamental process of interaction and reasoning that involves a search for collective purpose, direction, meaning, and belonging. Citizens discuss how they want to live together, what rules to follow, what the common good is, and what resources are legitimate in different institutional spheres—reasoning that may generate a belief in legitimate authority and order, and develop empathy and trust (March and Olsen 1986, Viroli 1992). Democratic governing and politics involve not only shaping history but also shaping citizens' understanding of it and their willingness to accept it (March and Olsen 1995). Citizens are educable, and preferences, measures of success, and identities evolve over time. Democracy's challenge is 'to construct institutions and train individuals in such a way that they engage in the pursuit of the public interest... and at the same time, to remain critical of those institutions and that training, so that they are always open to further interpretation and reform' (Pitkin 1972: 240).⁷ New beginnings are possible when people have a 'hypothetical attitude' towards existing institutions and forms of life (Habermas 1996: 468).

In contrast with centralized approaches giving primacy to the electoral channel, institutionalism assumes that modern democracies are characterized by institutional *differentiation*. Over time new institutional spheres have split off from older ones and developed their own identities: spheres of politics, economics, administration, law, civil society, religion, science, art, and the family. Partly autonomous institutions are constituted on different normative and organizational principles, defining different actors, behavioural logics, arguments, resources, and distributional principles as legitimate. What is appropriate in one institutional sphere is inappropriate in others.

Normatively the idea of centralized, monolithic power in a single branch of government has been attacked as the very definition of majority tyranny and electoral despotism, and demands have been raised for institutions to provide 'inefficiencies' in adaptive processes in order to protect individuals and minorities. Limited government, separation of powers, checks and balances, making decision makers responsive to different constituencies, constitutions, the rule of law, bills of inalienable rights, and an independent judiciary have been prescribed as instruments for protecting individuals and minorities from misuse of political power and securing representation of all, and not only the majority (Hamilton, Jay, and Madison [1787–8] 1964: #47, #48).

Modern democracies aspire to balance effective problem solving and protection of rights, and shifting conceptions of the appropriate mix are reflected in organizational arrangements.

p. 143 Whereas centralized approaches link learning and power to the formal decisions of a lawmaker and are less interested in how formal–legal decisions are prepared, executed, and turned into outcomes and effects, there is in practice huge variation across polities and over time when it comes to the role and capabilities of overall coordinating institutions in relation to legitimate ↴ public entities with resources of their own and allies in society. It is, however, unrealistic to assume a priori that some aspects of governing (e.g. making formal decisions) are ‘political’ while others (e.g. preparing, implementing, and enforcing formal decisions) are ‘apolitical’ (see Ch. 2).

For example, whereas partially independent courts of law are usually acknowledged, public administration is considered a non–political instrument—a rational structure established to achieve coordination and maximize predetermined purposes. This view is not totally without merit, but as a general description it ‘must be rejected as empirically untenable and ethically unwarranted’ (Long 1962a: 79; also Selznick 1957).⁸ Public administration is not a mere instrument for elected leaders. Over the last few years there has been a growth in the number of non–majoritarian, regulatory agencies, kept at arm’s length from politicians (Majone 1996), and in the literature public administration is portrayed as a core institution of modern government, staffed by professionals with their own ethos, standards, and rules of appropriate behaviour. Administrators have substantial discretion, control vast resources, and exercise power. They are active participants in the preparation, formulation, implementation, and enforcement of public policy. Public administration is a major point of contact between citizens and the state, a target of citizens’ influence and important in creating an image of government in the popular mind. Public administration also has a constitutive dimension: explicating collective interests; protecting values such as universality, equality, and legal security; providing fair implementation of laws and policies; securing predictability, accountability, and control; and reducing corruption and favouritism (Peters and Pierre 2003, Olsen 2008b; Ch. 5 below).

A complex institutional ecology

p. 144 An institutional perspective, then, holds that democracy is a form of ordered rule involving an institutional sphere with the specific task of governing a territory and population. Political institutions have some autonomy from other spheres of society, absorptive and adaptive capabilities, and internal differentiation and coordination of offices and roles with specified authority and responsibility (Huntington 1968). Political institutions are, nevertheless, embedded in a larger historical–institutional order, differently enabling and ↴ constraining individual institutions. Modern democracies form a complex ecology of partly autonomous yet interdependent and interconnected institutions with separate origins, histories, and traditions, and different internal and external organization (March and Olsen 1989: 170). There are many, often ‘inefficient’ and not necessarily synchronized and coordinated, institutionalized processes of will formation, decision making, experiential learning, and adaptation. Therefore the whole configuration of institutions across levels of government and institutional spheres has to be taken into account (Pierson 2000, Pierson and Skocpol 2002, Olsen 2007a). Understanding change requires information about how different types of institutions fit together, how they are interdependent, and how they interact (Powell and DiMaggio 1991, Scott 1995), and how change in one institution is linked to change in other institutions.

One hypothesis is that in routine and calm periods learning and adaptation largely take place in parallel, fairly autonomous institutional spheres, yet in the shadow of somewhat shared basic understandings or political pacts. Different institutions interpret and respond to external impulses through a set of standard operating procedures and bounded rational, simple models of the world, taking into account only selected parts of the environment. Institutionalized behavioural rules, understandings, and available resources are incrementally modified on the basis of experience, and individual institutions have a reservoir of rules and procedures, and

therefore sources of internal variability. However, feedback from the environment is in particular important when large-scale failures and performance crises generate demands for more coordination. Then institutional developments are more likely to be influenced by the interaction, collisions, conflicts, meta-rules, and power struggles between several institutional spheres, adapting to each other, and it becomes less fruitful to study learning and adaptation in each sphere in isolation.

Consequently, we need to understand the organizational processes through which compromises and victories in political battles are 'frozen' into institutions, sustaining a lasting legacy (Lipset and Rokkan 1967, Thelen 1999: 390). An example of such institutionalization is provided by the processes taking place after 'the birth of an organization', that is, after a formal decision has been made to establish an entity and provide it with legal competences, offices, staffs, and budgets. Then the organization has to find its place in a larger institutional order, and its identity is shaped as it becomes aware of and adapts structures and practices to opportunities and constraints in the internal and external environments (Simon 1953, Selznick 1957, Laffan 1999).

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Studies of institutionalization, de-institutionalization, and re-institutionalization, however, require long-term perspectives. For example, the ↪ institutionalization of the European state, as the key modern political formation, took centuries as administrative and military capacity was built, and these capacities were legitimated through nationalization and culture building, legalization, democratization and mass mobilization, and the development of the welfare state, social citizenship, and corporatist arrangements (Rokkan 1999, Bartolini 2005). Likewise, the emergence of the European Union, as a multi-level and multi-centred polity, and a possible new stage in the development of the European state and democracy, illustrates the need to take an extended historical perspective. The EU is also an example of a political order with properties that the component part (member state) does not have. The new order has evolved through complex interaction between supranational, intergovernmental, and transnational processes producing outcomes that are difficult to predict precisely, even if the post-war trend has been consistently towards more cooperation and integration. Because new institutions have arisen without older ones disappearing, political life has tended towards increasing complexity, and the balancing of order and change has been affected by the increased intercourse among member states (Olsen 2007a; Ch. 2 above).

Mea culpa, ideas about complex adaptive systems have in this chapter been used in a loose fashion. The literature on complex adaptive systems has so far not taken much interest in the emergence of democratic political institutions, and we have far to go before (if at all) the mechanisms and factors that influence such phenomena as the emergence of the European Union are well understood. Nevertheless, an institutional approach and studies of complex adaptive systems, in particular those looking at organizational implications and conditions for harnessing complexity (Axelrod and Cohen 1999), share many assumptions and puzzles. Therefore ideas about complex adaptive systems may be useful for understanding democratic order and change in an institutionally differentiated polity, as a supplement to models assuming a single dominant central learner and organizer, and market-inspired models assuming decentralized, individual learning and adaptation.

Much remains...

It is easy to agree that new institutionalists should specify more rigorously the factors that change institutions and explicate the links between these factors and institutional change (Gorges 2001). There are many unanswered questions. Why are institutions what they are; in what way do institutions matter; and why do some matter more than others (Rothstein 1996)? When do routines stop being routine (Immergut 2006: 241)? How do institutions $\hookrightarrow$ unleash processes of stability and change simultaneously (Greif and Laitin 2004: 636)? Which institutional collisions are likely to be consequential (Thelen 1999: 397)? Is change in some institutions dependent on continuity in others (March, Schultz, and Zhou 2000)? What is the relationship between incremental adaptation and radical change, and between the decline of one institutional order and the rise of another (Olsen 1997, 2007a)? What is the role of intention, reflection, and choice in the development of institutions (Hamilton, Jay, and Madison [1787–8] 1964, Mill [1861] 1962)?

It can be difficult to distinguish between competing explanations that give similar predictions and to disentangle the impact of institutions (Immergut 2006: 249, Przeworski 2006: 325, Caporaso 2007), and processes of change can be linked to each other in complex ways. For example, civil service reform may emerge as part of efforts to solve a specific problem, but the diffusion of the reform may be part of a growing legitimacy of the procedures developed (Tolbert and Zucker 1983). Patterns also co-evolve and co-dissolve. Party systems, for example, may become de-institutionalized and break down because voters become more critical and less predictable in their preferences and behaviour. Yet voters may also lose their identities and shift their predilections because they can no longer make sense of party systems (Mair 2007: 152).

It has been argued that ‘it is a dismal science of politics (or the science of a dismal politics) that passively entrusts political change to exogenous and distance social transformations’ (Di Palma 1990: 4). Nevertheless, the belief in the explanatory power of political institutions and forms of government among students of politics has varied over time (see Ch. 2). The connections between human agency, institutional design, and change have remained ‘bafflingly complex’ (Moran 2006: 158), and today there is no agreed-upon theory explaining how institutions affect change. Whereas scholars of different persuasions tend to agree that change and continuity depend on both institutional and non-institutional attributes, and that different approaches starting out with different privileged explanatory factors give partial insight, theorizing is frustrated by the need to reconcile the mutual influence of partly autonomous institutions, human agency, and macro-historical forces. All of them, and the relationships between them, matter, but there is no agreement on the conditions under which one matters more than the others.

Institutionalism simply claims that relationships between political agency, large-scale societal processes, normative democratic prescriptions, existing institutional arrangements, and institutional development are complex, and that knowledge about the functioning of formally organized institutions adds to our understanding of continuity and change in democratic contexts. In contrast with the view of recent reform ideology, democracy’s problem in $\hookrightarrow$ this chapter has been seen as balancing stability and change, institutionalization and de-institutionalization, rather than maximizing change. It has been argued that mainstream normative democratic theory is incomplete and has a biased ‘institutional theory’. Institutions and actors have been seen to mutually constitute each other, and contrary to conventional wisdom it has been shown that an institutional approach can deal with institutional dynamics, political agency, conflict, and power differentials. Institutions have an ordering effect, but orders are temporary, and the ordering role of institutions is less understood in unsettled polities and polities in transformation than in fairly stable and well-institutionalized polities.

This chapter has concentrated attention on how intra- and inter-institutional attributes may affect the processes through which institutions emerge and change rather than addressing the huge literature on deliberate reform and broad societal processes, including revolutions and wars. Routine processes of rule

application, identification, interpretation, attention, search, resource allocation, and conflict resolution have been used to explore possible inefficiencies in processes of change, and how institutions may enable and constrain human agency and modify external impulses. Whereas ideas about complex adaptive systems hold out some promise with regard to democratic dynamics, the aspiration of discovering a limited number of principles and laws generating complex systems has certainly not been met in this chapter. Rather, in terms of parsimony and clear predictions, the many mechanisms and the probabilistic and context-dependent trajectories of change that have been found to be relevant may be discouraging. An institutional approach, nevertheless, assumes that institutional developments are better understood by analysing the basic underlying processes than by specifying a (long) list of factors for a comparative-statics analysis of change.

However, ‘institutional change and order’ is probably too heterogeneous a phenomenon to be captured by any simple theory based upon a few grand generalizations and a dominant mechanism of change. An institutional approach invites further exploration of the processes through which institutional structures and processes affect human behaviour and of how human action is translated into change in governmental institutions. We need to specify in more detail the latitude of purposeful institutional reform, environmental effectiveness in eliminating sub-optimal institutions through competitive selection, and the abilities of institutions to adapt spontaneously to deliberate reforms and environmental change in modern democracies (Olsen 2001, 2008a, March and Olsen 2006 a, b). Under what conditions—if any—are environments perfect enough (little friction, perfect knowledge, easy entry, many actors, no externalities) to eliminate non-competitive governmental institutions? For which institutions are there clear, consistent, and stable normative standards and adequate understanding and control so that they can be deliberately designed and reformed, allowing actors to achieve intended, foreseen, and desired effects? Under what conditions are institutions perfectly adaptive, changing themselves or their environments in ways that create a fairly stable order?

While the questions are many and seemingly overwhelming, the next chapter addresses primarily one aspect of the possibilities and limitations of governing through institution building and policy formation—the role of the political centre and its interaction with a variety of specialized and partly autonomous institutions, many of them unlikely to work solely as instruments for a central authority.

Notes

- 1 Equilibrium refers to the relationship of a set of institutional arrangements to the features of their environments. Key assumptions are that strategic actors, maximizing their preferences, operate within a perfectly competitive context and that survival is determined by evolutionary fitness or rational adaptation. In equilibrium it is rational for all those with an ability to change an institution to follow the prescription of institutional rules. That is, no individual or group with the power to change the institution has an incentive to do so. Change follows when some (powerful) actor has an incentive to challenge existing arrangements because they think an alternative arrangement will provide more benefits or entail fewer costs (Shepsle 2006: 1033, 1038).
It is, however, not obvious that institutions have any independent explanatory power if they are mere descriptions of the equilibrium strategies of rational actors: ‘there is, strictly speaking, no separate animal that we can identify as an institution. There is only rational behaviour, conditioned by expectations about the behaviour and reaction of others. When these expectations about others’ behaviour take on a particular clear and concrete form across individuals, when they apply to situations that recur over a long period of time, and especially when they involve highly variegated and specific expectations about the different roles of different actors in determining what actions others should take, we often collect these expectations and strategies under the heading institution. This is not to say that institutions do not exist. Rather, it is to say that there are no institutional “constraints” or “preferences” aside from those arising out of the mutual expectations of individuals and their intentions to react in specific ways to the actions of others, all in an attempt to maximize utility in a setting of interdependency. *Institution* is just a name we give to certain parts of certain kinds of equilibria’ (Calvert 1995: 73–4).
- 2 Whereas the approach used in this book assumes rule-driven actors and inefficient history, historical institutionalism usually assumes strategic actors, yet sees institutional developments as path-dependent and embedded in temporal

societal processes. Institutions develop as products of struggle among actors with unequal resources, and institutions 'rarely look like optimal solutions to present collective action problems' (Pierson and Skocpol 2002: 706, 709). The standard model of punctuated equilibrium assumes discontinuous change. Long periods of institutional continuity, where institutions are reproduced, are assumed to be interrupted at critical junctures of radical change, where political agency (re)fashions institutional structures (Krasner 1988, Steinmo, Thelen, and Longstreth 1992, Pierson 1996, 2004, Thelen 1999, 2004, Streeck and Thelen 2005).

- 3 The distinction between seeing a legislature as a 'transformative institution' and an 'arena', based upon the legislature's independence of outside forces, was made by Polsby (1975: 277–96).
- 4 For Schumpeter, entrepreneurs are the engines of change in capitalism. Innovation is a fairly independent process 'that incessantly revolutionizes the economic structures *from within*, incessantly destroying the older ones, incessantly creating a new one' (Schumpeter 1994: 83).
- 5 One reason why democracy was seen as an inherently unstable form of government was that it constituted a threat to private property. Universal suffrage and capitalism were seen as incompatible, and democracy was expected to breed more social and economic equality than it has done. However, the probability that a democracy will survive rises steeply with per-capita income, and survival depends on achieving an income distribution that is sufficient for the poor and not excessive for the rich, who have the capacity to overthrow the regime (Przeworski 2006).
- 6 In contrast, the behavioural revolution in political science downplayed the importance of constitutions and laws compared to socio-economic 'underlying conditions'. One of the key figures argues that 'most of the basic problems of a country cannot be solved by constitutional design. No constitution will preserve democracy in a country where the underlying conditions are highly unfavorable. A country where the underlying conditions are highly favorable can preserve its basic democratic institutions under a great variety of constitutional arrangements. Carefully crafted constitutional design may be helpful, however, in preserving democratic institutions in countries where the underlying conditions are mixed, both favorable and unfavorable' (Dahl 1998: 139). Arguably, the behavioural reaction against conceiving an institution in terms of legal rules may have contributed to underrating the importance of rules in general, written or unwritten. In EU studies, however, constitutions and legal rules have had a renaissance as explanatory factors (Ch. 2 above).
- 7 This view borrows from Mill's developmental view of human nature. Humans are malleable and the quality of government depends on the quality and activity of the human beings comprising the society over which the government is exercised. The first element of good government is to promote the virtue and intelligence of the people (Mill 1962: 30, 32). In comparison, the Federalists have a more static view. Neither rulers nor the ruled are angels. If they were, no government or controls of government would be necessary. Therefore human nature has to be controlled through external incentives (Hamilton, Jay, and Madison 1964: 122–3).
- 8 Long argues that 'the lifeblood of administration is power' and that 'there is no more forlorn spectacle in the administrative world than an agency and a program possessed with statutory life, armed with executive orders, sustained in the courts, yet stricken with paralysis and deprived of power. An object of contempt to its enemies and of despair to its friends' (Long 1962b: 50).